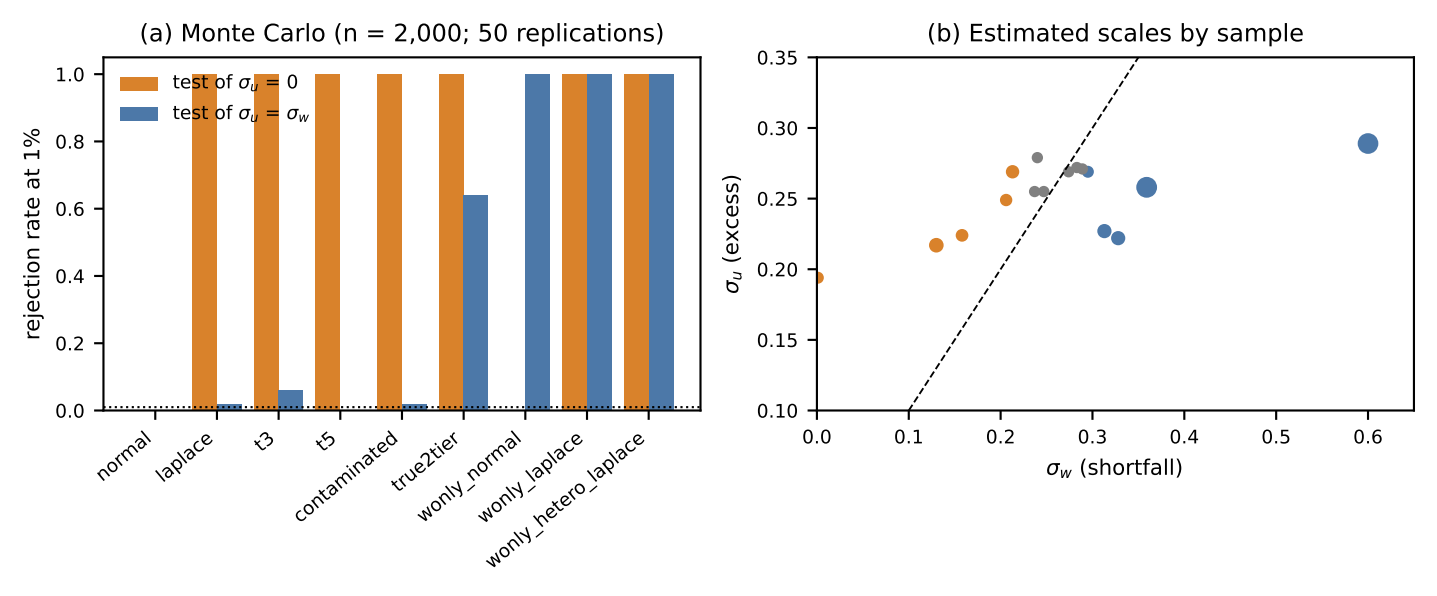
(a) Monte Carlo (n = 2,000; 50 replications)
rejection rate at 1%
test of $\sigma_u = 0$
test of $\sigma_u = \sigma_w$
1.0
0.8
0.6
0.4
0.2
0.0
normal
laplace
t3
t5
contaminated
true2tier
wonly_normal
wonly_laplace
wonly_hetero_laplace
(b) Estimated scales by sample
σ_u (excess)
σ_w (shortfall)
0.35
0.30
0.25
0.20
0.15
0.10
0.0
0.1
0.2
0.3
0.4
0.5
0.6